HOW IT WORKS ?

We just saw that we get a value between 0 and 100. When the RSI value is below 30, it is said to be in the oversold zone and when it is above 70, it is said to be in the overbought zone. When the RSI is between 30 and 70, we can say that it is in the normal trading zone. But whenever RSI enters the overbought or oversold zone, an analyst can actively start tracking the asset hoping for a reversal confirmation using other indicators.

ELEMENTS

RSI mainly has two components that an analyst needs to deal with. First, the RSI line itself. the behaviour of the RSI graph determines the trend, its strength and the momentum in the asset. Second, time period. To change the time period, we will need to make changes in the 'Parameters' option on ChartInk and 'Settings' option on Tradingview.

TRADE SIGNAL

RSI by itself does not give reliable signals to buy or sell an asset. At times, despite being overbought, the bulls may have a strong grip over the market due to which the trend might continue for a while. Even after entering the overbought zone, the asset may stay in the zone for a while and anyone who goes short expecting a reversal might incur significant losses. The same is true on the other side as well. The asset can remain in the oversold zone for quite some time. As a result, RSI cannot be used to generate buy and sell signals.

RSI should rather be seen as an early indicator of an upcoming reversal. Whenever an asset enters the overbought or oversold zone, the analyst should start actively tracking the asset. However, they must confirm the reversal with other indicators as well before entering into any trade. RSI works well in combination with other tools to conduct our analysis.

SUITABILITY

RSI is suitable on large-cap, indices, currencies and commodities. Analysts use it on small-cap and mid-cap too with varying degrees of success. Thus, the application of the RSI depends on the combination in use.